

Betting against the bookies

THE INTERNET HAS A KNACK FOR MAKING SOME WEIRD AND WONDERFUL THINGS COME TO BE.

We've heard and seen stories of countless support pouring in for a homeless person after a passerby recorded him singing with a golden voice at a traffic signal, or of anonymous individuals pooling their resources together to quickly identify kidnappers and bringing them to the notice of authorities before any real damage can happen, or of how it enabled all of us to transition to a work from home setup when the Covid-19 pandemic struck. Certainly, the underbelly of the Internet has shown its ugly side quite often but the good has far outweighed the bad in the digital age. The most recent incident is that of a bunch of folks interested in high-risk high-earning trades banded together to give stock traders a taste of their own medicine.

WallStreetBets or WSB, is a subreddit that was formed in 2012 to bring together folks who were interested in making a quick buck but didn't exactly have deep pockets as the suits on the real Wall Street. These are simple folk, like you and I, who have a little money saved up and are looking to find ways to invest and gain wealth. The little bit of trading that the average joe indulges in can hardly affect the larger scheme of things. On the other hand, big league stock traders and hedge fund managers do the same thing, it's just that they have billions of dollars of investor money to play around with and their actions can really move the market. And this is something they are well aware about and do take advantage of. And they treat the stock market with the same amount of high-risk carelessness as a toddler striking a match next to a box of dynamites.

Every single stock market crash in history can be attributed to the greed and corruption of the same big league stock traders. If you have watched The Big Short (2015) then you probably understand what I'm talking about. It's because of their corruption that regulators came to be. Unfortunately, even regulators have played a part in some of the major market declines around the world. Stock traders will bet against anything and everything that helps make them money. You can't fault them for it, after all, it's their job to earn for their investors. It's only when they ignore the red flags and put the world economy at risk that really makes them evil.

Personally, I've never dipped my toe in stocks but having seen what WallStreetBets pulled off, I might give it a go. Seeing the little guys come together and put the squeeze on large hedge funds was quite cathartic. If you're wondering what has been going on, allow me to explain in simple terms. Stock traders try to make money off of trades. If the stocks they're targeting is going up in value, they stand to make money and if the stocks are going down in value, they still stand to make money. The latter is because of a method known as shorting. Basically, stock traders borrow stocks (which are dropping in value) at a certain price. They are obligated to either return the stock or pay whoever they borrowed it from after a while. They sell off the stock the moment they buy it. Once the stock drops in value, they buy it back at the current low price and return it to the original owner. Essentially, they've shorted the stock. Usually, such intentions (to short or not to short) aren't made public but certain regulations force them to do so. The folks over at WallStreetBets figured out that certain hedge funds were shorting the stocks of GameStop (an American video games retail chain). So WallStreetBets, bet against the hedge funds. They bought as much GameStop stock as they could, thereby increasing the value of the stock due to high demand. A rising stock is a massive problem for the hedge funds since they now have to buy at higher prices than they sold the stock for and thus lose money. Then you have the folks who're simply waiting on the sidelines seeing GameStop's stock rise and start investing themselves. This sends the stock price even higher and royally sticks it to the hedge funds. The end result? A lot of first time investors from WallStreetBets are now rich and the hedge funds which had initially expected GameStop stock to drop have lost billions of dollars and had to be bailed out.

Nothing about what transpired is illegal. Yet, you have folks trying to make WallStreetBets seem like they're evil. Even the trading apps that WallStreetBets used got pressured to put an end to this. Not by regulators but by clearing houses which work closely with big hedge funds. Basically, the hedge funds are trying desperately, and illegally, to end the madness. This was yet another David v/s Goliath battle that came to a satisfying conclusion. This really makes you wonder, how free is the free market? 



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